

and have delayed a decision on the proposal to lower the 18% GST rate on insurance premium.

Several states, including Himachal Pradesh, Kerala and Tamil Nadu, have also raised concerns over continued revenue losses since the introduction of GST. Most recently, Punjab Finance Minister Harpal Singh Cheema has called for compensating agrarian states that have faced a continuous loss of revenue due to the subsumption of purchase tax on foodgrains.

However, a recent study by the Bank of Baroda shows that the mop-up from state GST is estimated to rise to ₹11.1 lakh crore in FY26 from ₹9.6 crore in FY25. "GST has the largest share of 44.2% (43.8% in FY25) in the total tax revenue and is estimated to have increased by 15.6% in FY26," said the study.

**88 |** But a common question that many in Central and state governments ask related to stabilising the tax. "Why do there have to be multiple changes in tax rates at every meeting of the GST Council? These can be curtailed to only a few tweaks as and when needed. GST needs to be made more stable and certain as it is a crucial pillar of tax policy. This will also cut down litigation," notes a senior government official.

Industry, meanwhile, continues to hope for several changes. A recent report by PwC India summarised some of these expectations and said the future of the levy is expected to be shaped by the adoption of new-age technologies in tax governance. "Other key reforms may include rate rationalisation, aimed at creating a more balanced tax structure, and broadening of input tax credit eligibility parameters with minimal restrictions. Further, there is growing momentum to cover aviation turbine fuel and natural gas under the GST regime," it said.



**"This [GST] structure was arrived at after a long debate on equity. In a country like India, there needs to be different rates for different items consumed by various groups"**

**THOMAS ISAAC**  
Former Finance Minister  
of Kerala



**"The government cannot solve the problem of income inequality by having multiple rates for GST. Direct taxes, and more particularly a wealth tax, is the correct tool for this"**

**VIJAY KELKAR**  
Chairman of the  
13th Finance Commission

Additionally, a forward-looking tax policy is anticipated in response to the fast growth of the economy and emergence of new sectors coupled with rising international trade headwinds, as well as to promote ease of doing business.

Lowering the compliance burden under the GST is another oft-repeated demand of taxpayers, especially smaller businesses that struggle with multiple returns along with an annual return, even as the tax administration continues to struggle with evasion of GST and problems such as fake registrations and misuse of input tax credit, both of which have been rampant. The Directorate General of GST Intelligence had in FY24 found evasion to the tune of ₹2.01 lakh crore as against ₹1.01 lakh crore in FY23. Officials say this is just the tip of the iceberg.

A slew of tax notices sent by the Centre and states to taxpayers ranging from large corporations like Life Insurance Corporation of India, Infosys and Zomato to small businesses has made GST seem more combative and less taxpayer-friendly over the years. These incidents had prompted Finance Minister Nirmala Sitharaman to assure taxpayers that the government's intent is to make assessee's lives easier.

It has taken 25 years to reach the current framework of GST. The next 22 years, until India turns 100, will be equally crucial in heralding the next phase of this indirect tax levy. Weaving together these diverse threads and concerns to ensure that India's big-bang reform does not get watered down is essential to attract both domestic and foreign investors, who are waiting for India's next set of policy easing. **BT**

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